industry, as the report shows 231 public pension plans reported commitments of $190.8 billion to private funds in 2021, and the top five consultants advised $23.5 billion.[998] Similarly, for private equity in 2022, a report shows 155 public pension plans reported commitments of $88.4 billion to private equity funds, the top consultant advised $7.2 billion (8.2%), top five consultants advised $18.2 billion (20.6%) and the top 10 consultants advised $21.7 billion (24.5%).[999] While these data points may have some differences in focus from the industry report on adviser law firm concentration above (for example, this concentration measure pertains to the United States, while the report above considers global concentration), the concentration measures of the two industries in these reports differ so substantially that we believe they are informative of potential overall differences in market power between adviser law firms and investor consultants.

The second factor that may give advisers bargaining power is that it may be difficult solely as a matter of coordination for private fund advisers to adopt a common, standardized set of detailed disclosures and consent practices that achieve sufficient transparency, because investors and advisers compete and negotiate independently of each other on many dimensions, including performance statistics, management fees, fund expenses, performance-based compensation, and more.[1000] For example, recent industry literature has documented ongoing

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998 Andrés Ramos, Content Marketing Specialist, Nasdaq Private Fund Solutions, *Understanding the Consultant Landscape in the Private Markets*, *available at* https://privatemarkets.evestment.com/blog/understanding-the-consultant-landscape-in-the-private-markets/; NASDAQ, PRIVATE FUND TRENDS REPORT 2021-2022, *available at* https://www.nasdaq.com/solutions/asset-owners/insights/private-fund-trends.

999 Private Fund Trends Report 2022-2023, *supra* footnote 998.

1000 Academic literature discussed in the comment file debates whether privately organized standardized disclosures are more or less efficient than regulated or mandated disclosures. *See, e.g.*, Memo Re: Aug. 18, 2022, Meeting with Prof. William Clayton; *see also, e.g.*, Frank H. Easterbrook & Daniel R. Fischel, *Mandatory Disclosure and the Protection of Investors*, 70 VA. L. REV. 669 (1984). Certain investors and industry groups have encouraged advisers to adopt uniform reporting templates to promote transparency and alignment of interests between advisers and investors. *See, e.g.*, *Reporting Template*, ILPA, *available at* https://ilpa.org/reporting-template/. Despite these efforts, many advisers still do not provide adequate disclosure to investors. In 2021, 59% of LPs in a survey reported receiving the template more than half the

challenges in achieving standardization of disclosures around the impact of subscription lines of credit on performance.[1001]

While asymmetric information and difficulties in coordinating standardized disclosures and consent practices provide an economic rationale for new regulations for practices of private fund advisers to the extent that those issues result in investor harm or negatively affect efficiency, competition, or capital formation, they do not offer a complete picture as to the necessary degree of regulation. As one commenter states, many imbalances in bargaining power can be resolved through enhanced disclosure alone, and do not necessitate either prohibiting any activities or making any non-disclosure activities mandatory.[1002] We agree that policy decisions can benefit from taking into account the causes of bargaining failures or other market frictions.[1003]

While this commenter did not discuss consent requirements,[1004] commenters generally contemplated consent requirements as potential policy choices for certain aspects of the final rules.[1005] We have therefore also considered consent requirements, in addition to disclosure requirements, as potential policy solutions to the bargaining imbalances described in this

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time, indicating that LPs must continue to use their negotiating resources to receive the template. *See infra* section VI.C.3; *see also* ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983, at 17; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

1001 *See infra* section VI.C.3; *see also* ILPA, ENHANCING TRANSPARENCY AROUND SUBSCRIPTION LINES OF CREDIT, RECOMMENDED DISCLOSURES REGARDING EXPOSURE, CAPITAL CALLS AND PERFORMANCE IMPACTS (June 2020), *available at* https://ilpa.org/wp-content/uploads/2020/06/ILPA-Guidance-on-Disclosures-Related-to-Subscription-Lines-of-Credit_2020_FINAL.pdf.

1002 Clayton Comment Letter II.

1003 *Id*.

1004 *Id*.

1005 *See, e.g.*, BVCA Comment Letter; MFA Comment Letter I; AIMA/ACC Comment Letter.

release.[1006] In particular, consent requirements may be effective policy solutions in cases where investors and advisers have asymmetric information, but the nature and degree of asymmetric information is uncertain or may change over time, such that disclosure requirements may be difficult to tailor in a way that resolves the asymmetry of information on their own without further consent practices. For example, commenters stated that several of the proposed prohibited activities, such as advisers borrowing from their funds, may be beneficial to the fund and its investors,[1007] while the Proposing Release contemplated ways in which these activities may harm the fund and its investors.[1008] Whether the activity benefits the fund and its investors, or the adviser at the expense of the fund and its investors, can depend on the terms and price of the advisers' activity, the reasons for the adviser undertaking the activity, or both. In these cases, it may be difficult for investors, with disclosure alone, to analyze the implications of the advisers' activity, and it may be difficult for disclosure requirements alone to capture the asymmetric information possessed by the adviser that would benefit the investor. We believe these cases motivate consent requirements in addition to disclosure requirements in certain cases.

We believe that many of the bargaining imbalances described in the Proposing Release and in this release may be improved through enhanced disclosure and, in some cases, consent requirements, and have tailored many of the final rules accordingly. This includes revising several proposed rules that would have prohibited certain activities outright to instead provide for certain exceptions in the final rules where the adviser makes an appropriate enhanced disclosure and, in some cases, obtains investor consent. We believe these revisions substantially

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1006 *See infra* sections VI.D, VI.F.

1007 *See, e.g.*, SBAI Comment Letter; CFA Comment Letter I; AIC Comment Letter I.

1008 Proposing Release, *supra* footnote 3, at 232.

preserve economic benefits, including positive effects on the process by which investors search for and match with advisers, the alignment of investor and adviser interests, investor confidence in private fund markets, and competition between advisers. Because consent requirements for certain restricted activities also directly enhance the bargaining power of investors, by providing investors an opportunity to offer consent only upon receiving certain concessions, the inclusion of certain consent requirements also enhances investor ability to secure additional information from advisers. These positive effects may improve efficiency, competition, and capital formation in addition to benefiting investors,[1009] while reducing the risks of the negative unintended consequences identified by commenters.[1010]

However, we believe that certain targeted further reforms, namely the prohibition of certain preferential terms that the adviser reasonably expects would have a material, negative effect on other investors and the mandatory audits, are necessitated by several additional sources of asymmetric bargaining power between investors and advisers and among investors. We believe those imbalances are not fully resolved by enhanced disclosure and would also not be fully resolved by requiring investor consent, and that those imbalances may further negatively affect the efficiency with which investors search for and match with advisers, the alignment of investor and adviser interests, investor confidence in private fund markets, and competition between advisers.

As a third source of bargaining power imbalances between investors and advisers, investors have worse outside options to a given negotiation than the adviser. As discussed above, many investors face complex internal administrative and regulatory requirements that

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1009 *See infra* section VI.E.

1010 *See, e.g.*, AIC Comment Letter I, Appendix 1.

govern their negotiations with advisers.[1011] This means that investors in private funds often face high upfront costs of identifying advisers who meet their administrative and regulatory requirements, with due diligence costs such as fees for investment consultants.[1012] The result is that, once a relationship with such an adviser is established, the cost of leaving that adviser to search for another adviser can be high, because many of these upfront costs of administrative and regulatory due diligence must be repeated. Investors may also have predetermined investment allocations to private funds, as stated by one commenter.[1013] For an investment committee of an investor with a predetermined investment allocation to private funds, they may have no outside option to a given negotiation at all, as they are required to allocate a set amount of funds to a private investment. Advisers may also benefit in the negotiation from knowing that an investment committee with a predetermined investment allocation to private funds must select an adviser within a certain time frame, and therefore may have limited ability to walk away from the negotiation and find a new adviser. This is consistent with one recent survey of attorneys

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1011 *See supra* footnote 983-986 and accompanying text.

1012 *See supra* footnote 993 and accompanying text.

1013 *See, e.g.*, *CalPERS Investment Fund Values*, CALPERS (Nov. 18, 2022), *available at* https://www.calpers.ca.gov/page/investments/about-investment-office/investment-organization/investment-fund-values (showing $48.8 billion or 11.5% asset allocation towards private equity); OKLAHOMA MUNICIPAL RETIREMENT FUND, AUDIT REPORTS (2022), *available at* https://www.okmrf.org/financial/#investments (showing an allocation of approximately $50 million out of total investments of $600 million allocated to hedge fund investments); Healthy Markets Comment Letter I ("Many institutional private fund investors, such as public pension funds, have predetermined investment allocations to alternative investment strategies. As allocations to private fund investments have generally risen in recent years, investors have faced increased competition to participate in investment vehicles offered by leading advisers or specific attractive opportunities. In fact, as this competition for the opportunity to invest has increased, many institutional investors have been compelled to lower their demands upon private fund advisers, including accepting even egregious, anti-investor contractual provisions, such as purported waivers of liability.").

representing private equity investors, in which over 40% of respondents reported that the investors were "unable" or unwilling to walk away from bad terms.[1014]

As a related matter, even outside these predetermined allocations, many public pension plans have turned to private funds in an attempt to address underfunding problems.[1015] The academic and industry literature has documented that U.S. public pension plans face a stark funding gap, in which states on average had less than 70% of the assets needed to fund their pension liabilities, with that figure for some states reaching as low as 34%.[1016] This further limits the ability of public pension plans, an important category of private fund investor, to exit a private fund negotiation and, for example, invest in public markets instead.

These issues indicate that many investors therefore have strong incentives to compromise to pursue repeat business with the same fund adviser,[1017] and that many investors negotiating with fund advisers simply do not have the outside option of turning to public markets. In the survey described above,[1018] nearly 60% of respondents reported "fear of losing allocation" as an

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1014 Clayton Comment Letter II.

1015 This is driven in part by private markets outperforming public benchmarks. Some commenters discussed the relative performance of private markets and public benchmarks. *See, e.g.*, CCMR Comment Letter IV.

1016 *See, e.g.*, Professor Clayton Public Investors Article, *supra* footnote 12; Sarah Krouse, *The Pension Hole for U.S. Cities and States Is the Size of Germany's Economy*, WALL ST. J. (July 30, 2018), *available at* https://www.wsj.com/articles/the-pension-hole-for-u-s-cities-and-states-is-the-size-of-japans-economy-1532972501 (retrieved from Factiva database); PEW CHARITABLE TRUSTS, THE STATE PENSION FUNDING GAP: 2017, ISSUE BRIEF (June 27, 2019), *available at* https://www.pewtrusts.org/en/research-and-analysis/issue-briefs/2019/06/the-state-pension-funding-gap-2017.

1017 The asymmetries of information also contribute to investors having poor outside options to their negotiations: Because investors have less information as to what terms are market than do their private fund advisers, they face a more uncertain outcome as to what terms they might receive with their next adviser if they leave their current adviser. For risk-averse investors, this uncertainty incentivizes investors to accept terms in their current negotiation that they otherwise might not. *See, e.g.*, Clayton Comment Letter II; ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

1018 Clayton Comment Letter II. This evidence has been corroborated in industry literature and by another commenter. *See* ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983; ILPA Private Fund Advisers Data Packet, *supra* footnote 983.

explanation for why investors have accepted poor legal terms in LPAs.[1019] These asymmetries in bargaining power may be exacerbated for smaller investors: Nearly 50% of respondents reported having too small of a commitment size as an explanation for why investors have accepted poor legal terms.[1020]

Investors may have fewer outside options as to who their next negotiating partner will be if they leave their current private fund or other funds with the same adviser, for example because of the consolidation of law firms representing advisers.[1021] As a result, investors considering leaving a negotiation have a high probability of having to pay high fixed costs to find a new negotiating partner, only to end up negotiating with the same law firm again. As noted above, while many advisers benefit from the reliability and security of repeat investors, and face certain regulatory burdens such as restrictions around ERISA funds they are typically otherwise less restricted in their ability to market to and accept investments from a wide variety of investors.[1022] We believe these imbalances in bargaining power may be a factor in the cases of disadvantaged investors accepting fund terms in which the fund will not be audited or in which other investors will receive preferential treatment that may have a material, negative effect on other investors in the fund, and these imbalances are not resolved by disclosure.

Fourth, these descriptions of bargaining difficulties for investors are consistent with a view that smaller investors who lack bargaining power also face a collective action problem. Investors are unable to negotiate with each other because advisers often impose non-disclosure

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1019 *Id*.

1020 *Id*.

1021 One commenter also stated that law firms that serve as external counsel to private equity managers have incentives to push back on investor-friendly terms. *See* Clayton Comment Letter II.

1022 *See supra* footnote 987 and accompanying text.

agreements or other confidentiality provisions that restrict each investor from being able to learn from the adviser who the other investors are, and as a result investors are hindered from collectively negotiating. To the extent that advisers have differential pricing power over different kinds of investors, they are incentivized to offer terms to some investors that extract surplus from investors with the least bargaining power and transfer it to the investors with the most bargaining power. The non-disclosure agreements and other confidentiality restrictions currently benefit larger investors who have sufficient bargaining power to negotiate unilaterally but may prevent smaller investors from engaging in collective action.

Specifically, contract terms that offer preferential treatment to advantaged investors may impose a negative externality on disadvantaged investors. If the disadvantaged investors could collectively bargain with the advantaged investors and the adviser, all parties could potentially agree to terms in which the disadvantaged investors would pay greater fees, the advantaged investors would pay reduced fees (or even received some fixed payout), and the preferential terms would be removed from the contract. As one commenter states, "[p]rivately negotiating various side letters[,] however[,] has instead pitted LPs against one another rather than collectively trying to negotiate for a standard set of disclosures and investment terms from the GPs."[1023]

For example, when advisers offer preferential redemption terms to only certain advantaged investors that materially negatively affect other investors, those advantaged investors experience a reduction in the risk of their payouts from the private fund, and the disadvantaged investors who do not receive preferential redemption terms face an increase in the risk of their

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[1023] Comment Letter of Americans for Financial Reform Education Fund, et al. (May 8, 2023) ("AFREF Comment Letter IV").

payouts from the private fund. Depending on the relative risk preferences of the two sets of investors, there may exist some payout from the disadvantaged investors to the advantaged investors in exchange for the removal of the preferential redemption terms that could leave all parties better off. Because contracts are individually negotiated between single investors and the adviser and because advisers are typically not permitted to reveal identities of other investors, which prevents investors from communicating with each other, there is no scope for a private resolution to this collective action problem.

Fifth, even if investors could coordinate, there is substantial variation across investors in the private fund space in terms of their ability to bargain, and larger investors with more bargaining power may benefit from using their bargaining power to extract terms that may risk materially, negatively affecting other investors. Not all private fund investors are large negotiators with the resources to bargain effectively, and the largest investors who negotiate the most intensely may not want to coordinate or collectively negotiate with smaller advisers or may benefit from negotiating separately from smaller advisers.

Specifically, as we discuss in detail further below, the ability for certain preferred investors with sufficient bargaining power to secure preferential terms that would have a material, negative effect on other investors leaves the preferred investors in a scenario where they can opportunistically "hold-up" other investors, exploiting their preferred terms.[1024] As a specific example of how this might occur, an adviser with repeat business from a large investor with early redemption rights and smaller investors with no early redemption rights may have adverse incentives to take on extra risk, as the adviser's preferred investor could exercise its early redemption rights to avoid the bulk of losses in the event an investment begins to fail. The

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[1024] *See infra* section VI.D.4.

result is that the larger investors, who can secure preferential redemption terms, benefit from having smaller investors in their funds who must negotiate independently and do not have the same bargaining resources as the larger investors.[1025] This is because preferential redemption rights gain value from the presence of other investors who can be "held up," with investors sharing returns equally when investments succeed but disproportionately allocating losses to the smaller investors when an investment begins to fail.

Those private fund investors who are smaller than the largest investors, and therefore may be less able to bargain than the largest investors, may not be able to appreciate, even with disclosure, and also may not be able to appreciate after providing investor consent, the full ramifications of these bargaining outcomes or the contractual terms that they agree to in the case of preferential treatment that the adviser reasonably expects to have a material, negative effect on the investors who do not receive it. As stated above, in one recent survey of private equity investors, nearly 50% of respondents reported that they accept poor legal terms because the commitment size of their institution is too small,[1026] indicating potential unlevel playing fields for smaller investors who are the most likely to be the investors lacking bargaining power. One commenter stated that smaller investors receive less timely and complete information than other investors, indicating only certain investors receive preferential information.[1027] That commenter also stated that preferential fund terms primarily benefit larger, more advantaged investors.[1028]

This asymmetry in bargaining power across investors, and the lack of incentive to coordinate across investors with different levels of bargaining power, provides a specific

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1025 Similar outcomes can arise in the case of preferential information. *See infra* section VI.D.4.

1026 Clayton Comment Letter II.

1027 Healthy Markets Comment Letter I.

1028 *Id*.